DEEP DIVE

When Drones Hit the Cloud: The AWS Middle East Strikes

A retrospective on the first military attack on hyperscale cloud infrastructure

March 2026 | Engineering Digest | Special Edition

FOREWORD

Something happened on March 1 that the cloud industry has theorised about for years but never experienced: a military attack on hyperscale data centre infrastructure. Iranian drone strikes hit AWS facilities in the UAE and Bahrain, taking two of three availability zones offline in ME-CENTRAL-1 and disrupting over 109 services. Banking apps went dark. Payment platforms failed. Enterprise workloads vanished. Recovery took weeks, not hours. The Center for Strategic and International Studies called it the first major military strike on hyperscale cloud infrastructure. It won't be the last.

We're giving this a full issue because the implications extend well beyond a service outage. This event changes how engineering leaders think about geographic risk, disaster recovery, data residency, and the assumption that cloud infrastructure exists in a safe, abstract layer removed from the physical world. It forces an uncomfortable question: when a Central Bank mandates that customer data stays in-region, but the region's infrastructure has been destroyed, what exactly is the plan?

EXECUTIVE SUMMARY

What Happened and Why It Matters

109+	3	2/3	16+
SERVICES AFFECTED	FACILITIES HIT	UAE AZS OFFLINE	DAYS TO RECOVER

On March 1, 2026, Iranian retaliatory drone strikes hit two Amazon Web Services data centres in the UAE and damaged a third facility in Bahrain. Two of three availability zones in the ME-CENTRAL-1 region went offline — not degraded, *unavailable*. Over 109 AWS services were affected. Banking apps, payment platforms, and enterprise software across the Gulf went dark. As of March 17, full restoration had still not been confirmed.

This was the first time a major hyperscale cloud provider's infrastructure was directly hit by military action. It introduced a category of risk the industry had theorised about but never encountered: kinetic, physical attacks on the infrastructure that underpins the digital economy. Software outages resolve in hours. Structural damage, fire, water damage from suppression systems, and power infrastructure destruction resolve in weeks — if they resolve at all while the broader conflict continues.

For engineering teams operating in the region — particularly those in banking, payments, and fintech — the implications are profound. Multi-AZ architecture, the standard resilience model, was designed for a single zone failing due to operational issues. It was not designed for two zones being simultaneously struck by drones while a third in a neighbouring country took collateral damage. Every assumption about cloud resilience in the Middle East changed overnight.

The financial stakes extend beyond the immediate outage. The Information and Semafor report that $300 billion in Gulf AI and data centre investments are now at risk, as investors and operators reassess the viability of building critical digital infrastructure in an active conflict zone.

THE FULL TIMELINE

From First Strike to Prolonged Recovery

MARCH 1 — THE STRIKES

4:30 AM PST — "Objects" strike the mec1-az2 availability zone in UAE. Fire breaks out inside the data centre. Local fire department responds and shuts off all power — including backup generators — to contain the blaze. AWS initially describes the cause as "objects" and a "localized power issue."

6:09 AM — AWS confirms power failure in mec1-az2. EC2 instances, EBS volumes, and RDS databases in the zone become unavailable. EC2 networking APIs return 500 errors. The AWS Health Dashboard shows a "localized power issue" — no mention of external cause.

11:30 AM — Cascading failure. The second availability zone (mec1-az3) enters a degraded state. Only mec1-az1 remains partially operational — but EC2 API errors and launch failures are reported there too. Two of three UAE AZs are now effectively offline.

9:56 PM — ME-SOUTH-1 (Bahrain) impacted. A drone strike in close proximity to an AWS facility causes physical damage to infrastructure. 46+ services affected in Bahrain. The incident is no longer confined to a single region.

MARCH 2–3 — CONFIRMATION AND PARTIAL RECOVERY

March 2, 7:19 PM EST — 36 hours after the first strike, AWS breaks its silence on the cause: "In the UAE, two of our facilities were directly struck, while in Bahrain, a drone strike in close proximity to one of our facilities caused physical impacts to our infrastructure. These strikes have caused structural damage, disrupted power delivery, and in some cases required fire suppression activities that resulted in additional water damage."

March 3, 8:14 AM — Partial S3 recovery begins. New PUT and LIST operations working; GET operations for pre-existing data still depend on physical infrastructure restoration. EC2 instance launches remain throttled. DynamoDB error rates elevated.

March 3 — AWS issues its strongest advisory: "We continue to strongly recommend that customers with workloads running in the Middle East take action now to migrate those workloads to alternate AWS Regions." This is an extraordinary statement from a provider that normally emphasises the resilience of its multi-AZ architecture.

MARCH 4 ONWARDS — PROLONGED RECOVERY

Week of March 3–10 — Physical repair of cooling systems, power infrastructure, and structural damage continues. AWS pursues parallel recovery tracks: physical restoration of damaged facilities alongside software mitigations to restore partial availability on surviving hardware. Dubai Financial Services Authority issues emergency guidance permitting temporary cross-region data processing for affected firms.

Week of March 10–17 — AWS re:Post forum shows customers still unable to retrieve snapshots or migrate workloads from affected zones. No confirmed full restoration date published. AWS statement: "The ongoing conflict in the region means that the broader operating environment in the Middle East remains unpredictable." A hyperscale cloud provider publicly acknowledging that geopolitical instability makes its own infrastructure unreliable is unprecedented.

IMPACT ANALYSIS

Who Was Affected and How

Service tiers at peak disruption

Fully disrupted (9 services): EC2 (networking APIs returning 500s), EBS (volumes inaccessible), S3 (high failure rates on existing objects), Lambda (invocations failing), Management Console (partial access only).

Degraded (24 services): RDS, DynamoDB, Cognito (authentication), EKS (cluster management), VPC networking — functioning on the surviving AZ but with elevated error rates and throttled capacity.

Impacted (58+ services): CloudFormation, Route 53, CloudWatch, Kinesis, WAF, SNS/SQS, and 51 others — ranging from intermittent failures to partial functionality loss.

Downstream: banking and payments

The financial services impact was immediate and widespread. ADCB — one of the UAE's largest banks — saw its mobile banking and contact centre go offline entirely. Emirates NBD phone banking was disrupted. Payment platforms Alaan and Hubpay went down. Delivery and ride-hailing platform Careem was disrupted across the region. Snowflake reported regional outages affecting enterprise data workloads. Reuters reported multiple unnamed financial institutions were affected but unable to confirm the extent publicly due to regulatory constraints.

> *In previous conflicts, adversaries targeted pipelines, refineries, and oil fields. In the compute era, these actors could also target data centres, energy infrastructure supporting compute, and fibre chokepoints.*
>
> — Center for Strategic and International Studies (CSIS), March 2026

CSIS characterised this as the first major military strike on hyperscale cloud infrastructure — a marker that moves data centre security from an IT concern to a national security one. The report noted that roughly 326 data centres across the Middle East are within range of similar threats, regardless of which cloud provider operates them.

Sources: CNBC, CBS News, CSIS, AWS re:Post

INDUSTRY RESPONSE

How the Industry Reacted

AWS

AWS initially described the cause as "objects" and a "localized power issue" — language that obscured the severity and nature of the event. The drone strike confirmation came 36 hours later, after external reporting by CNBC, CBS News, and The Register had already established the cause. Once acknowledged, AWS pursued parallel recovery tracks: physical restoration alongside software mitigations. They repeatedly recommended customers migrate workloads to alternate regions — an extraordinary advisory from a provider that normally emphasises multi-AZ resilience.

The delay in transparency drew criticism. Engineering teams making DR decisions in the first 36 hours were operating on incomplete information, believing they were dealing with a power issue rather than physical destruction of infrastructure in an active conflict zone.

Other cloud providers

Google, Microsoft, and Oracle — all of which operate data centres in the region — declined to comment publicly. None reported outages to their own facilities. But the CSIS analysis applies equally to all of them: roughly 326 data centres across the Middle East are within range of the same threats. The risk is geographic, not vendor-specific.

Sources: The Register, Marketplace, AWS Health Dashboard

The data residency paradox

This is where the crisis became genuinely complicated. UAE and Bahrain Central Bank mandates require customer financial data to stay in-region. But the in-region infrastructure was destroyed. Failing over to eu-west-1 or us-east-1 resolves the technical outage but potentially creates a legal one.

The Dubai Financial Services Authority issued emergency guidance permitting temporary cross-border data processing — but this was reactive, not pre-planned. Many organisations discovered on March 1 that they had no answer to the question: who has the authority to approve cross-region failover when the region is under military attack?

Alternative options exist. Azure UAE North is TDRA-compliant and offers geographic separation from AWS infrastructure. GCP's Dammam region provides additional physical distance. AWS Outposts enables hybrid sovereignty for workloads that cannot leave UAE territory under any conditions. But these require pre-positioning — not something you configure during an incident.

The uncomfortable lesson: the legal authority to approve cross-border failover under emergency conditions should be established before the incident, not at 4:30 AM during one.

LESSONS & IMPLICATIONS

What This Changes

A new category of cloud risk

Previous major AWS outages — including the US-EAST-1 disruption in October 2025 — were caused by operational issues: misconfigurations, software bugs, power grid failures. This was fundamentally different. Software outages can often be resolved in hours. Physical damage to cooling systems, power infrastructure, and server hardware requires on-site assessment, component replacement, safety clearances from local authorities, and structural repair. Recovery timelines are measured in weeks, not hours. And when the cause is military action in an ongoing conflict, there is no guarantee the same infrastructure won't be struck again.

Multi-AZ is not enough

AWS's multi-AZ architecture is designed to survive the failure of a single availability zone. It was not designed for two out of three zones being simultaneously struck by drone attacks, with a third zone in a neighbouring country also damaged. The cascading failure across zones and regions exposed assumptions in the AZ resilience model that held for software failures but not for kinetic attacks affecting a geographic area. For critical workloads in conflict-adjacent regions, multi-AZ is necessary but insufficient. Multi-region — across geographically separated territories — is the minimum viable resilience posture.

Vendor diversification doesn't eliminate geographic risk

Spreading workloads across AWS, Azure, and GCP doesn't help if all three operate facilities within the same conflict zone. The risk is physical proximity, not vendor dependency. Multi-cloud in the same geography is diversification theatre. The 326 data centres CSIS identified across the Middle East belong to multiple providers — and all of them share the same physical threat envelope.

The operating environment warning

AWS made an extraordinary statement: "The ongoing conflict in the region means that the broader operating environment in the Middle East remains unpredictable." A hyperscale cloud provider publicly acknowledging that geopolitical instability makes its infrastructure unreliable in a region is without precedent. It effectively shifts the risk calculus from "how do we optimise in this region" to "should we be in this region at all for critical workloads." For organisations that *must* operate in the Gulf, the answer is to build for the assumption that in-region infrastructure may become unavailable for extended periods — and to have the legal, technical, and organisational mechanisms in place to fail over before the crisis forces the decision.

$300 billion at risk

The Information and Semafor report that $300 billion in Gulf AI and data centre investments are now at risk. The region has been positioning itself as a global hub for AI compute and cloud infrastructure. The drone strikes introduce a question that no amount of investment can fully answer: can you build critical digital infrastructure in an active conflict zone and expect it to remain operational? The market's answer to that question will shape data centre investment patterns for years to come.

Sources: *The Register, CNBC, Data Center Knowledge, Cybersecurity News, AWS re:Post, EnkiAI, CSIS*

OTHER NEWS THIS MONTH

In Brief

Microsoft integrating Claude into Copilot Wave 3 (March 9) — Anthropic's Cowork technology powering Agent 365. Claude in mainline Copilot chat. E7 Frontier Suite at $99/user launching May 1. UK/EU tenants have Claude disabled by default. *eWeek, Microsoft Learn*

Anthropic launched $100M Claude Partner Network — enterprise training, Claude Certified Architect certification, co-marketing funding. Claude now available on all three major cloud providers. *Anthropic*

Revolut secured full UK banking licence (March 11) — FSCS-protected deposits for 13M customers. Credit products coming. Dual London/NY IPO at $75B valuation being explored. *Bloomberg, CNBC*

PMI and Agile Alliance released Manifesto for Enterprise Agility (March 3) — first joint manifesto. Extends agile from team delivery to enterprise governance, funding, and leadership. *PMI*

Simon Willison on agentic engineering at Pragmatic Summit (March 14) — fireside chat on running 3–4 AI agents in parallel, mental exhaustion as the new bottleneck, the "retry list" for failed AI tasks. Essential listening for engineering managers. *simonwillison.net*

ON THE RADAR

Coming Up

April 19	Claude Haiku 3 model retirement — migrate to Haiku 4.5
April 22	AWS Summit London — expect Bedrock, Trainium, and ME recovery announcements
April 29	Zero Day Con, Dublin — Ireland's largest cybersecurity conference
April 30	Node.js 20 end of life
May 1	Microsoft Copilot Wave 3 / Agent 365 + E7 Frontier Suite launch
May 11–12	Dubai Fintech Summit

RECOMMENDED READING

Sources & Further Reading

AWS says drones hit two of its datacenters in UAE	The Register
Banking, payments disrupted after AWS UAE drone strikes	CNBC
AWS Middle East Outage After Data Centers Hit by Drone Strikes	Data Center Knowledge
AWS ME-CENTRAL-1: 109 Services Disrupted	Cybersecurity News
Service disruption in AWS Middle East Region	AWS re:Post
Targeting Cloud Infrastructure in the Compute Era	CSIS

Engineering Digest

March 2026 · Deep Dive · Special Edition

Next weekly edition: March 25, 2026